



Cambridge O Level

ECONOMICS

Paper 1 Multiple Choice

2281/12

May/June 2021

45 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A, B, C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has **12** pages. Any blank pages are indicated.

1 What is an advantage of competitive markets?

- A Competition causes inequalities of wealth. *Macro concept*
- ✓ B Competition encourages the efficient use of resources. *Firms need to survive, they are bound to be efficient.*
- C The economic problem of scarcity is eliminated. *never*
- D The right quantity of merit goods is guaranteed. *never, lack of information*

2 A multinational company (MNC) wishes to invest in a low-income country to expand its palm oil production.

What is most likely to make this investment possible?

- A high cost of clearing forests to increase land for plantations *Won't invest*
- ✓ B increased demand for palm oil *Higher demand needs to be responded with output.*
- C shortages of labour in the rural economy *Output can't be produced to desired level.*
- D the removal of subsidies for palm oil production *Negative*

3 A farmer sells land used for crops to a firm that will use the land for wind turbines to produce electric power.

What is the opportunity cost of this decision by the farmer?

- A the cost of installing wind turbines
- ✓ B the loss of revenue from crops that grow on the land *as now land will be used for wind turbines*
- C the profit made from selling the land
- D the reduced cost of producing renewable energy

4 What is not included in microeconomics?

- A economies of scale
 - B forms of competition
 - C individual demand
 - ✓ D the inflation rate *Macroeconomic concern*
- } yes ↑

factors

3

5 What determines a consumer's demand for a product?

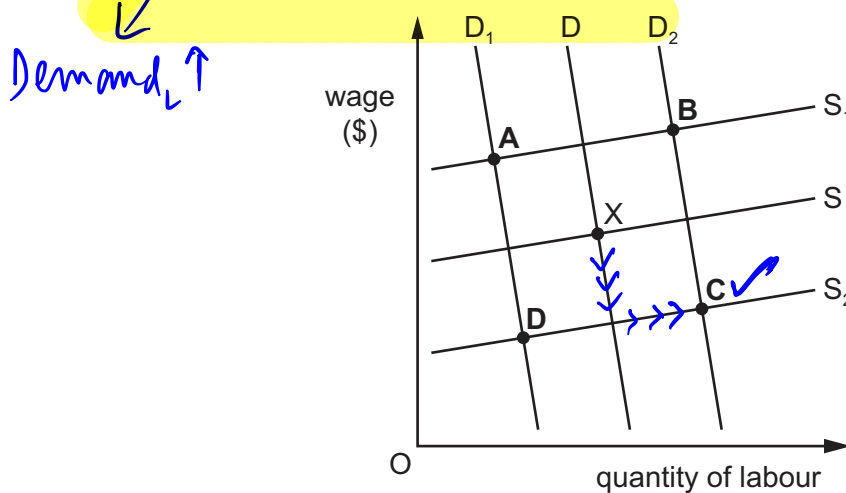
	the consumer's income <i>yes</i>	the consumer's willingness to buy the product <i>yes</i>	the price of the product <i>yes</i>
<i>A</i>	✓	✓	✓
B	✓	✓	x
C	x	✓	✓
D	✓	x	✓

6 Which problem will be reduced by a government subsidy to a firm?

- A absence of a public good *solely provided by government*
- B abuse of monopoly power *It's a large firm, doesn't require subsidy*
- C overconsumption of a demerit good *worsen the situation*
- D* underconsumption of a merit good *, lack of information, $P \downarrow$, $QD \uparrow$, consumption $\uparrow$*

7 The diagram shows the market for information technology (IT) graduates. The original equilibrium was X. Later, more IT students graduated from university and greater use of artificial intelligence (AI) increased the demand for IT staff.

What is the new equilibrium?



% Δ in price = 20%

8 In response to an increase in price from \$5 per kilo to \$6 per kilo, a farmer increased supply from 400 kilos to 500 kilos per week.

% Δ in Qs = 25%

What is the price elasticity of supply?

- A 0.8 B 0.9 C 1.2 *D 1.25*

$$\frac{\% \Delta \text{ in } Q_s}{\% \Delta \text{ in } P} = \frac{25}{20} = 1.25$$

9 What might cause consumers in a high-income economy to both save more and spend more?

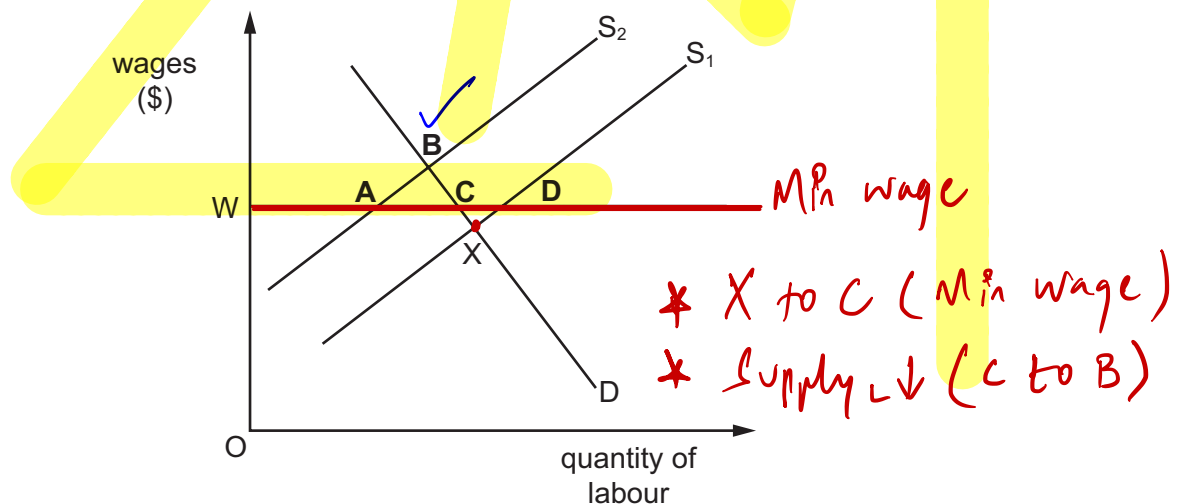
- A an increase in the rate of interest $\uparrow \rightarrow$ save $\uparrow$
- ✓ B an increase in wealth *More wealth, more can be saved and spent*
- C expectation that prices will fall in the future *save $\uparrow$*
- D inflation rising at a faster rate than wages *save $\uparrow$*

10 What would be a disadvantage of specialisation for a worker?

- A a low price of the product that they make *Nothing to do with worker*
- ✓ B boredom due to repetition of the same task *Repetitive task*
- C higher quality of the good *It's an advantage, but nothing to do with worker*
- D the opportunity to undertake training *Advantage*

11 The diagram shows a market for labour. X is the original equilibrium. A trade union negotiates a minimum wage at W, and the government restricts the supply of immigrant labour.

What is the new equilibrium?



12 Which cost of production falls continuously as output increases?

- ✓ A average fixed cost
- B average total cost
- C average variable cost
- D total variable cost *only rise*

falls then rise

$$AFC = \frac{TFC}{Q} \rightarrow \text{constant e.g. } \$50$$

$$AFC = \frac{50}{1}, \frac{50}{2}, \frac{50}{3}, \frac{50}{4}$$

It will fall continuously.

One level back $\Rightarrow$ Vertical backward

5

- 13 A Swedish furniture maker bought a Romanian firm that owned 83 000 hectares of trees.

Which type of merger is this **most** likely to be?

- A diversification *separate*
- B horizontal *same stage*
- ☒ C vertical backward
- D vertical forward *(service sector)*

$$P \times Q = TR / TE$$

- 14 What is calculated when price is multiplied by the quantity demanded of a product?

- A average revenue $= TR/Q$
- B profit $= TR - TC$
- C total cost $= FC + VC$
- ☒ D total revenue $= P \times Q$

- 15 A private sector firm is the only supplier of rail services between two cities.

What will stop the firm charging very high ticket prices?

- A barriers to entry into rail services $P \uparrow$
- ☒ B competition from public road transport, with this consumers can now respond, as they will have options
- C government policy encouraging monopoly power
- D high costs of maintaining rail tracks

worsen $\hookrightarrow P \uparrow$

- 16 What is a fiscal policy measure?

- ☒ A direct tax
- B exchange rates
- C interest rates] monetary
- D regulation (supply side)

- 17 A government uses expansionary monetary policy. $m^s \uparrow, \& \downarrow$

What does the government decrease?

- A bank lending $m^s \downarrow$
- ☒ B interest rates $\& \downarrow, C \uparrow, I \uparrow, AD \uparrow$
- C the budget deficit $G \downarrow$ (fiscal)
- D the money supply $m^s \downarrow$

Transfer Payments

- 18 A country is experiencing unemployment. It has a progressive income tax policy and benefits for the poor. The government aims to increase employment and reduce income inequality.

Which fiscal policy measures are **most** likely to achieve these aims?

	income tax	benefits for the poor
A	decrease the highest tax rate	decrease
B	increase the highest tax rate	decrease
C	decrease the lowest tax rate	increase ✓
D	increase the lowest tax rate	increase ✓

e.g.

unemployment
Benefits

Higher Disposable Income, AD↑, unemployment ↓

- 19 The table shows changes in the Consumer Prices Index (CPI) from the base year, 1, and for the next three years.

year	1	2	3	4
CPI	100	101.1	101.8	102.1

% Δ formula
applied

$$\frac{\text{New} - \text{old}}{\text{old}} \times 100$$

Which statement is correct?

- A Consumer prices were highest in year 3. No
- B The rate of inflation was 2.1% in year 4. (0.29%)
- C The rate of inflation was highest in year 2. [1.1%]
- D The rate of inflation was lowest in year 1. It's the Base year

- 20 What is likely to happen when a country is experiencing deflation? (Negative inflation)

- A Consumers delay spending. Unemployment ↑, C ↓
- B Governments raise interest rates. More deflation
- C The level of imports increases. C ↓ M ↓
- D The real value of money falls. Rise

- 21 Economic growth can be defined as

- A a reduction in a country's rate of inflation.
- B an increase in a country's exports. Factor
- C an increase in a country's population.
- D an increase in a country's productive capacity. (productive potential ↑)

22 The table compares the distribution of employment in selected industries in two years.

industry	employment in millions	
	year 1	year 2
agriculture	4	3 ↓
mining	2	2
manufacturing	6	6
retailing	4	4
transport	4	5 ↑
total	20	20

Primary (pointing to agriculture and mining)
Secondary (pointing to manufacturing, retailing, and transport)

How did the distribution of employment change between year 1 and year 2?

	primary sector	secondary sector
A	fell ✓	rose
B	fell ✓	unchanged ✓
C	rose	fell
D	rose	unchanged ✓

23 In a year, two changes occurred in a company.

Company directors' salaries increased by 15%.

Office workers' wages increased by 5%.

The rate of inflation was 3.4%.

What happened to real income?

	company directors' real income	office workers' real income
A	fell	fell
B	fell	rose ✓
C	rose ✓	fell
D	rose ✓	rose ✓

$+ve = 15\% - 3.4\%$ $+ve = 5\% - 3.4\%$

Nominal - Inflation → Represents purchasing power as it is adjusted with inflation

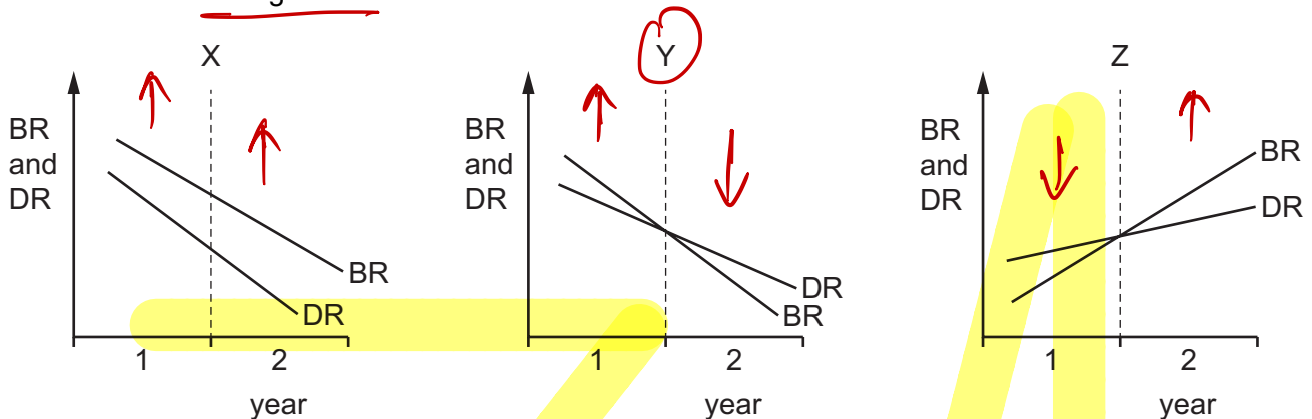
↑ :- population ↑

8

↓ :- population ↓

- 24 The diagrams show birth rate (BR) and death rate (DR) in three countries, X, Y and Z, in two years, 1 and 2.

There was no migration.



Where was there a rise in population in year 1 and a fall in population in year 2?

- A X and Z B X only C Y and Z D Y only

- 25 The richest 60% of the population of a high-income economy received an increase in income. The income of the rest of the population did not change.

What happened to absolute and relative poverty?

	absolute poverty	relative poverty
A	increased	increased ✓
B	increased	remained constant
C	remained constant ✓	increased ✓
D	remained constant ✓	remained constant

→ In comparison with other, as rich became richer, relative poverty raised

→ Unable to afford basic necessities (No effect on them)

- 26 Gross Domestic Product (GDP) is a better measure of comparative living standards when it is adjusted for the effects of

- A exports and inflation.
B imports and exports.
C population change and exports.
D population change and inflation.

→ Because after this, it will become Real GDP per head

Exports and imports comes under income, that is already included in GDP

27 What is the most likely benefit for a low-income economy if it removes tariffs on imported goods and services?

A more choice for domestic consumers

Higher choices increases standard of living.

B more employment in declining industries

Unemployment ↑

C more exports by domestic firms

Uncertain

D more tax revenue from imports

less tax revenue as tariffs ↓

28 Economies have become increasingly linked through globalisation.

What would discourage this?

A creation of a single world market

encourage

B direct foreign investment by multinational companies

encourage

C expansion of trade in financial services

encourage

D protectionist policies by trading groups

discourage, goods are restricted or appears expensive.

29 What may result from a balance of payments trade surplus?

A The exchange rate appreciates and causes export prices to fall.

Rise

B The exchange rate appreciates and causes export prices to rise.

C The exchange rate depreciates and causes export prices to fall.

NO

D The exchange rate depreciates and causes export prices to rise.

NO

→ BOP surplus, more payments received, DPs ↑, Appreciation,

30 A country has a deficit on its current account of its balance of payments.

X prices ↑

What could increase the size of its deficit?

A increased exports of its services

Deficit ↓

B increased international competitiveness of its goods

goods cheaper, deficit ↓

C increased numbers of visitors from abroad

payments received, deficit ↓

D increased spending on its military bases abroad

payments made abroad, deficit ↑

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